

Chen and Associates, CPA

18200 Michigan Avenue, Suite 220, Dearborn, MI 48126 (313) 555-0689

Tax Year 2025 Planning Summary

Prepared for Maria Sandoval, February 20, 2026. This is a planning summary for your records. Final figures will appear on the filed federal and Michigan returns.

Line	Amount (USD)
Bright Smiles gross receipts	520,000
Practice business expenses	(375,000)
Net practice income (Schedule C)	145,000
Painting and teaching net income (Schedule C)	5,000
Total self employment income	150,000
Deduction, one half self employment tax	(10,600)
SEP IRA deduction	(12,000)
Adjusted gross income	127,400
Standard deduction, single	(15,000)
Qualified business income deduction	(22,480)
Taxable income	89,920

Estimated Tax

Tax	Amount (USD)
Federal income tax	15,180
Self employment tax	21,200
Michigan income tax (4.25 percent)	5,415
Total estimated tax	41,795
Quarterly estimates paid in 2025	40,000
Estimated balance due with return	1,795

Notes: charitable contributions of 2,400 USD were below the standard deduction threshold, so the standard deduction was used. Continue 2026 quarterly estimates at about 10,000 USD per quarter. Call to schedule your filing appointment before April.